

February 5, 2026

Chair C.E. Cliff Hayes, Jr.
House Communications, Technology
and Innovation Committee
General Assembly Building, Room 909
201 North 9th Street
Richmond, VA 23219

Vice Chair Irene Shin
House Communications, Technology
and Innovation Committee
General Assembly Building, Room 1115
201 North 9th Street
Richmond, VA 23219

RE: Letter in Opposition to Virginia SB 338

Dear Chair Hayes and Vice Chair Shin:

On behalf of the advertising industry, we write to oppose Virginia SB 338.¹ We provide this letter to offer our non-exhaustive list of concerns about this bill. SB 338 would amend the Virginia Consumer Data Protection Act (“VCDPA”) to include an explicit prohibition on controllers from “selling” or offering to “sell” precise geolocation data.² If enacted, such an amendment to the VCDPA would deprive Virginia consumers of access to critical services and benefits that depend on location data. Accordingly, we ask you to decline to advance this bill out of the House Committee on Communications, Technology and Innovation.

As the nation’s leading advertising and marketing trade associations, we collectively represent thousands of companies across the country. These companies range from small businesses to household brands, advertising agencies, and technology providers. Our combined membership includes more than 2,000 companies that power the commercial Internet, which accounted for nearly 20 percent of total U.S. gross domestic product (“GDP”) in 2024.³ By one estimate, approximately 17.8% of Virginia jobs in 2024 were related to the ad-subsidized Internet, a share projected to increase to 19.3% by 2029.⁴ Our group has more than a decade’s worth of hands-on experience it can bring to bear on matters related to consumer privacy and controls. We would welcome the opportunity to engage with the Committee further on the points we discuss in this letter.

I. SB 338 would impede businesses’ ability to use location data to send advertising to consumers in the right time and at the right place.

Virginia’s existing privacy law already provides strong protections for location data. Under the VCDPA, businesses may process or sell precise geolocation data *only with a consumer’s consent*.⁵ SB 338 would go significantly further by effectively prohibiting the sale of precise geolocation data altogether, even where consumers have knowingly and voluntarily

¹ Virginia SB 338 (2026 Session), located [here](#) (hereinafter, “SB 338”).

² SB 338 § 59.1-578(A)(6).

³ S&P Global, THE ECONOMIC IMPACT OF ADVERTISING ON THE US ECONOMY, 2024-2029 at 4 (Aug. 2025), located at https://theadcoalition.com/wp-content/uploads/2025/08/TAC_SP-Global-Final-Report_August-2025.pdf.

⁴ *Id.* at 15-16.

⁵ Va. Code Ann. § 59.1-578(A)(5).

consented to such sales. This sweeping ban would unnecessarily disrupt data practices that allow companies to reach consumers with relevant content and advertising, enabling consumers to learn about goods and services that are near to them. Without the ability to disclose precise geolocation data for advertising purposes, subject to consumers' opt-in consent, businesses will have a more difficult time, and face higher costs, reaching individuals with relevant marketing, and Virginia consumers will not be alerted to products and services they desire that are near to them.

II. SB 338 would restrict the availability of location data in times of an emergency.

SB 338's prohibition on the sale of precise geolocation data would also have serious and unintended consequences for emergency alerts and public safety communications that Virginians rely on. Location data powers emergency notices, particularly AMBER alerts, severe weather notices, and other time-sensitive public safety messages, allowing these notices to be immediately displayed to users in the impacted area on any device they are using. These types of services depend on acquiring location data from other parties. If SB 338 becomes law, and location data becomes less accessible due to the bill's prohibitions, emergency alerts may be delayed, over-inclusive, under-inclusive, or fail to reach some individuals altogether. Virginia consumers may lose access to emergency alerts for floods, wildfires, and other community emergencies, as these important, real-time alerts rely on disclosure of location data to function.

III. SB 338's proposed ban on the sale of location data could hinder effective fraud prevention products and services.

Financial institutions, retailers, and other companies rely on sophisticated anti-fraud and identity protection services that include location data provided by third parties. The responsible use and disclosure of location data allows anti-fraud and identity protection services to flag suspicious behavior and protect vulnerable communities. For example, companies can more easily detect credit card theft or fraud if they or their service providers have access to location data showing that a consumer is not in the location where a purchase is being made. If passed, SB 338 would impede entities' ability to responsibly use and disclose location data to prevent fraudulent activity and reach out to consumers to confirm their purchases. Even though the VCDPA includes an exemption for data use to prevent and detect fraud,⁶ prohibiting the sale of precise geolocation data for commercial uses would significantly reduce incentives for companies to collect and maintain this data for *any purpose*. As a result, less location data would be available in the marketplace overall, including for critical uses such as detecting, preventing, and investigating fraud. SB 338's broad prohibition on precise geolocation data sales would significantly weaken essential consumer protection services that rely on location data to function. This bill, if enacted, would make it harder for companies to detect and prevent fraud, respond quickly to suspicious activity, and protect consumers from financial loss.

⁶ *Id.* at § 59.1-582(A)(7).

IV. SB 338 should be harmonized with existing state privacy laws.

Virginia should focus its efforts on full implementation and enforcement of the VCDPA and maintain its current approach in regulating precise geolocation data in a similar manner to how many other states have designed this consumer protection. SB 338's proposed ban on sales of precise geolocation data would diverge from such an approach, have a chilling effect on commerce, and impact products and consumers that consumers value. Moreover, the bill creates uncertainty regarding its interaction with existing VCDPA exemptions, particularly those that permit the use of data for fraud prevention and security purposes.⁷ A patchwork of differing privacy standards across the states creates significant costs for businesses and consumers alike. Efforts to harmonize state privacy legislation with existing privacy laws are critical to minimizing costs of compliance and fostering similar privacy rights for consumers no matter where they live.

Compliance costs associated with divergent privacy laws are significant. To make the point: a regulatory impact assessment of the California Consumer Privacy Act of 2018 concluded that the initial compliance costs to California firms would be \$55 billion.⁸ Another recent study found that a consumer data privacy proposal in Florida would have generated a direct initial compliance cost of \$6.2 billion to \$21 billion and ongoing annual compliance costs of \$4.6 billion to \$12.7 billion for the state.⁹ Other studies confirm the staggering costs associated with varying state privacy standards. One report found that state privacy laws could impose out-of-state costs of between \$98 billion and \$112 billion annually, with costs exceeding \$1 trillion dollars over a 10-year period, and with small businesses shouldering a significant portion of the compliance cost burden.¹⁰ Harmonization with existing privacy laws is essential to create an environment where consumers in Virginia have privacy protections that are consistent with those in other states, while minimizing unnecessary compliance costs for businesses. Virginia should not add to this compliance bill for businesses and should instead opt for an approach to data privacy that is in harmony with already existing state privacy laws.

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⁷ Va. Code Ann. § 59.1-582(A)(7).

⁸ See State of California Department of Justice Office of the Attorney General, *Standardized Regulatory Impact Assessment: California Consumer Privacy Act of 2018 Regulations*, 11 (Aug. 2019), located at https://dof.ca.gov/media/docs/forecasting/economics/major-regulations/major-regulations-table/CCPA_Regulations-SRIA-DOF.pdf.

⁹ See Florida Tax Watch, *Who Knows What? An Independent Analysis of the Potential Effects of Consumer Data Privacy Legislation in Florida*, 2 (Oct. 2021), located at <https://floridatxwatch.org/DesktopModules/EasyDNNNews/DocumentDownload.ashx?portalid=210&moduleid=34407&articleid=19090&documentid=986>.

¹⁰ Daniel Castro, Luke Dascoli, and Gillian Diebold, *The Looming Cost of a Patchwork of State Privacy Laws* (Jan. 24, 2022), located at <https://itif.org/publications/2022/01/24/looming-cost-patchwork-state-privacy-laws> (finding that small businesses would bear approximately \$20-23 billion of the out-of-state cost burden associated with state privacy law compliance annually).



We and our members strongly support meaningful privacy protections for consumers. We believe, however, that SB 338's ban on precise geolocation data sales will remove choices from Virginia consumers, impede businesses from contacting Virginians with relevant advertising messages, and will hinder the provision of emergency alerts and fraud prevention services. We therefore respectfully ask the Committee not to advance SB 338, as its provisions would negatively affect both businesses and consumers alike.

Thank you in advance for your consideration of this letter.

Sincerely,

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